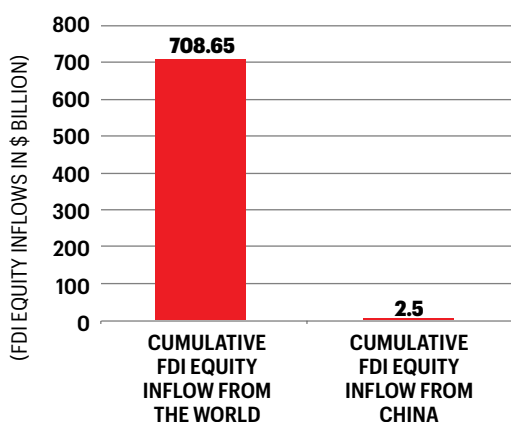


FDI INFLOWS

► FDI equity inflows from China have been minor compared to the rest of the world, accounting for just 0.35% between April 2000 and September 2024 ► Mauritius, Singapore and the US are the top countries in terms of FDI equity inflows



DATA FROM APRIL 2000 TO SEPTEMBER 2024

SOURCE DPIIT



“We did not resume flights to China [after Covid], curbed investment, and shut online businesses... Now there’s a better understanding”

AGNESHWAR SEN
PARTNER-TAX AND ECONOMIC
POLICY (INTERNATIONAL TRADE),
EY INDIA



“India’s trade deficit with China has doubled in the last five years since it decided to stay out of the Regional Comprehensive Economic Pact”

SURENDAR SINGH
ASSOCIATE PROFESSOR,
INTERNATIONAL BUSINESS,
JINDAL SCHOOL OF LIBERAL ARTS
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UNIVERSITY

deal between China, the ASEAN bloc of countries, Australia, New Zealand and Japan, along with a few others.

Based on actual investments in India, China remains a marginal player. Lifting restrictions on foreign direct investment (FDI) by China will have minimal impact on the ground. Between April 2000 and September 2024, FDI equity from China added up to \$2.5 billion or just 0.35% of the total FDI equity inflows. Singh believes the recent improvement in diplomatic relations with China will unlikely lead to improved business and investment.

“India remains sceptical of investments from China and the nature of such investments. Over the last few years, India has received several large investment proposals from Chinese firms but has not welcomed most of them,” Singh says. The academic said there is enough evidence that Chinese investments in different countries have undermined the receiver countries’ sovereignty.

A recent report by the economic think tank Global Trade Research Initiative says that expecting a surge in

Chinese investments is unrealistic, even if the restrictions are eased. “China has historically shown limited interest in making substantial investments in India, particularly in sectors that require technology transfer or strategic collaboration,” it says.

Chinese investments may flow into labour-intensive industries such as garments or shoes and undermine Indian manufacturing further, the report warned.

In high-tech sectors such as electronics and electric vehicles, Chinese companies could assemble products in India with up to 90% of the components sent from China. “This would only deepen India’s dependence on Chinese supply chains,” the report said.

So the official weather forecast is bleak: “No showers of Chinese FDI. No clouds on the horizon”.

Let’s hope the weatherman is wrong. And that Chinese FDI makes landfall soon. **BT**

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